6.2 The Natural Base e

Algebra II 6.2 · Student sheet

Name _____ Period ____ Date _____

I can…

- define and use the natural base e.
- graph natural base functions and tell growth from decay.
- solve real-life problems with continuously compounded interest.

Part 1 · Compound more often

One dollar earns 100% interest for one year, compounded n times. Find $(1 + 1/n)^n$ to four decimal places.

n	1	2	4	12	365	8,760
$(1 + 1/n)^n$						

Now type e^1 on your calculator: _____ What do you notice?

Part 2 · Notes: fill in the blanks

$e \approx$ _____. It is the value $(1 + 1/n)^n$ approaches as n _____.

$y = ae^{rx}$ $(a > 0)$ shows growth when _____ and decay when _____.

$e^{rt} = (e^r)^t$, so the growth factor is _____.

Continuously compounded interest: $A =$ _____

Part 3 · Examples (work them with the class)

Example 1

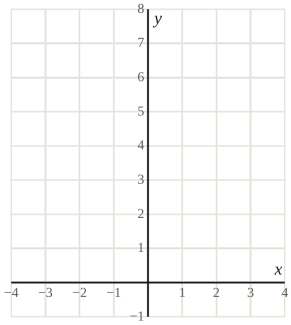
Simplify each expression.

a. $e^3 \cdot e^5$ b. $\frac{16e^5}{4e^4}$ c. $(3e^{-4x})^2$

Example 2

Tell whether each function represents exponential growth or decay. Then graph them.

a. $y = 3e^{2x}$ b. $y = e^{(-0.5x)}$



Example 3

Rewrite $y = 2e^{(0.06t)}$ in the form $y = a(1 + r)^t$. Find the percent rate of change.

Example 4

You deposit $4,000 in an account that pays 5% annual interest compounded continuously. Find the balance after 6 years.

Example 5

Find the balance for the same $4,000 at 5% for 6 years compounded quarterly. Which account earns more?

Part 4 · Partner practice

Partner 1

Simplify $(2e^{3x})^3$.

Partner 2

You deposit $2,500 at 4% annual interest compounded continuously. Find the balance after 10 years.